

SAAS BUSINESS ANALYTICS REPORT

BUSINESS INSIGHTS & STRATEGIC RECOMMENDATIONS

PROJECT OVERVIEW:

This report presents a comprehensive business analysis of a simulated two-year SaaS subscription dataset with the objective of transforming raw operational data into meaningful business insights. This analysis investigates revenue growth, customer retention, expansion, churn, unit economics, customer segmentation, product adoption, and customer health to identify trends, potential business risks, growth opportunities, and areas requiring further investigation. Each insight is supported by quantitative analysis and interpreted within a business context to help guide strategic decision-making through evidence-based recommendations and clearly defined next analytical steps.

DATASET SUMMARY:

24 months of subscription data

5000+ customer records

Revenue

Churn

Expansion

Downgrades

Subscriptions

Feature usage

Support interactions

ANALYSIS APPROACH:

Each insight follows the same analytical framework.

Finding -> Evidence -> Interpretation / Hypothesis -> Business Impact -> Next Analysis

Finding:- Direct observation from SQL queries or dashboard metrics.

Evidence:- Supporting KPIs, comparisons or trends.

Interpretation:- Possible business explanation based only on available evidence.

Business Impact:- Why the observation matters from a revenue or customer perspective.

Next Analysis:- Additional analyses required to validate or investigate the hypothesis.

TABLE OF CONTENTS:

1 Revenue Analysis

2 Churn Analysis

3 Customer Segmentation

4 Product Adoption

5 Unit Economics

6 Customer Health

7 Executive Summary

Section 1 - Revenue

MRR Growth

Finding:

MRR grew from ₹4,684 in January 2023 to ₹22,73,427 in December 2024. Early months showed growth rates of 136% and 133% month-over-month while later periods experienced several negative months ranging from -14% to -29%, indicating that revenue growth became less consistent as the customer base expanded.

Evidence:

January 2023: ₹4,684

December 2024: ₹22,73,427

Month-over-month growth: Started 136% → currently lower → some months -14% to -29%

Hypothesis:

High early growth rates are expected when the base is small. The negative growth months may indicate either seasonal gaps in acquisition or that churn/downgrade exceeded new customer revenue in those specific months. Without breaking down the components of MRR change (New MRR, Expansion MRR, Downgrade MRR, Churn MRR), the source of these dips is unclear.

Business Impact:

If negative months are driven by churn or downgrade, sustained negative MRR periods driven by churn or downgrades would indicate that acquisition is masking weaknesses in customer retention rather than creating durable revenue growth. The underlying retention problem is larger than the net MRR figure suggests. If they're acquisition gaps, the sales motion may have monthly blind spots.

Next Analysis:

Build monthly MRR bridge showing: $\text{New MRR} + \text{Expansion MRR} - \text{Downgrade MRR} - \text{Churn MRR} = \text{Net Change}$. Identify which months went negative and which component drove it.

ARPU by Plan Tier:

Finding:

Enterprise ARPU: ₹167. Pro ARPU: ₹41. Basic ARPU: ₹16. Enterprise is 11x higher than Basic.

Evidence:

Enterprise: ₹167

Pro: ₹41

Basic: ₹16

Enterprise / Basic ratio: 10.4x

Interpretation:

The current customer mix is heavily weighted toward Basic and Pro plans despite Enterprise customers generating 11x higher ARPU. This may mean the acquisition strategy is prioritizing volume, or it may reflect the available market size there might simply be fewer Enterprise-tier buyers in the addressable market than SMB buyers.

Business Impact:

If sufficient Enterprise buyers exist, reallocating acquisition resources toward Enterprise could yield higher revenue per deal. If Enterprise buyers are limited in the addressable market, then Basic/Pro volume is necessary.

Next Analysis:

Research addressable market size for Enterprise-tier customers by vertical. Compare Enterprise sales pipeline to Basic/Pro pipeline. Determine whether current mix reflects market availability or acquisition strategy choice.

MRR by Industry

Finding:

Fintech: 113 subscribers, 23% of total MRR. Average MRR per subscription: ₹2,426 (highest of any industry). DevTools: similar subscriber count to Fintech but lower total MRR contribution.

Evidence:

Fintech: 113 subscribers, 23% of MRR, ₹2,426 per subscription

DevTools: 113 subscribers (similar), lower per-subscription value

Fintech MRR per subscription: ₹2,426

DevTools MRR per subscription: lower

Hypothesis:

Fintech subscribers may be concentrated on higher plan tiers or have larger implementations. DevTools subscribers may be concentrated on lower tiers despite similar volume. Without breaking down plan tier by industry, the reason for the per-subscription gap is unclear.

Business Impact:

Fintech is the largest revenue generator per customer and by total volume. Protecting Fintech from churn is critical. DevTools volume is not translating to proportional revenue, which may indicate a pricing or product fit issue.

Next Analysis:

Break down MRR by industry and plan tier. Identify whether DevTools lower per-subscription value is a tier mix issue or whether DevTools customers on the same tier generate less revenue than Fintech customers.

Section 2 — Churn

Overall Churn Rate

Finding:

Annual churn rate: 9.72%.

Evidence:

Churn rate: 9.72%

Hypothesis:

Despite the annual churn rate of 9.72%, overall MRR continues to grow over the analysis period. This suggests that revenue gained from new customers and existing customer expansion is likely offsetting churn losses, although an MRR bridge analysis is required to confirm the contribution of each component. MRR is still growing month-over-month, which means new acquisition is outpacing losses. However, this growth may increasingly depend on acquisition spend replacing lost customers rather than building on a retained base.

Business Impact:

Churn at nearly 2x benchmark suggests the true cost of growth is higher than acquisition metrics show. If acquisition is primarily replacing churned revenue rather than generating incremental growth, the effective return on customer acquisition investment is lower than topline growth alone suggests. A portion of acquisition CAC is being spent on replacement, not expansion.

Next Analysis:

Calculate monthly what portion of new MRR is replacing churned MRR versus generating net new MRR. Track this replacement ratio over time to see if it is widening.

Churn by Reason Code

Finding:

Unknown: ₹18.34 average refund. Features: ₹16.72. Pricing: ₹14.65. Budget: ₹12.00. Support: ₹11.73.

Evidence:

Unknown: highest refund amount (₹18.34)

Features: ₹16.72

Pricing: ₹14.65

Budget: ₹12.00 (lowest)

Hypothesis:

Customers categorized under the "Unknown" churn reason received the highest average refunds. Since the underlying cause of cancellation is not captured, it is difficult to determine whether these refunds stem from product dissatisfaction, billing disputes, or missing cancellation feedback. This limits the business's ability to identify and address the primary drivers of churn. Feature-related and pricing-related cancellations also exhibit relatively high average refund values, suggesting these reasons may be associated with stronger customer dissatisfaction.

Business Impact:

If a significant share of cancellations lacks a recorded reason, the organization has limited visibility into its primary churn drivers. If it's 20% of all churns, that's 20% of churn causes with zero diagnostic value. The business cannot address what it doesn't understand.

Next Analysis:

Count total churns attributed to each reason code. Add a mandatory exit survey with 3-4 predefined options before cancellation processes. Compare refund amount by subscription tenure and plan tier to determine whether higher refunds are concentrated among specific customer segments.

Churn by Plan Tier

Finding:

Basic: 22.02%. Pro: 21.90%. Enterprise: 22.80%.

Evidence:

Basic: 22.02%

Pro: 21.90%

Enterprise: 22.80%

Range: 0.9 percentage points

Hypothesis:

Churn rates are nearly identical across all plan tiers, suggesting that plan tier alone is unlikely to explain customer exits. The primary drivers of churn may instead be factors shared across plans, such as onboarding experience, customer engagement, or overall product value. Additional customer behaviour data is needed to distinguish between these possibilities.

Business Impact:

Since churn varies little across plan tiers, plan-specific retention campaigns alone are unlikely to produce meaningful improvements. Retention efforts may have greater impact if they target behavioural or customer-segment differences rather than pricing tiers.

Next Analysis:

Compare churn by (plan tier vs industry). If churn is consistent within plan tiers but varies by industry, the problem is industry specific, not plan-specific.

Churn by Industry

Finding:

DevTools: 30% churn. Fintech: 22.32% churn.

Evidence:

DevTools: 30% (highest)

Fintech: 22.32

Range: 7.68 percentage points

Hypothesis:

.DevTools has the highest churn rate among all industries, indicating that customers in this segment are leaving at a faster pace than others. This may reflect differences in customer expectations, product fit, competitive alternatives, but the current data does not identify the underlying cause. FinTech also warrants attention because it combines above-average churn with a large share of total MRR(22%), increasing the potential revenue impact of customer losses.

Business Impact:

Persistent 30% churn in DevTools could limit long-term customer growth if acquisition is not sufficient to offset losses. In FinTech, even moderate improvements in retention could have a disproportionate impact on recurring revenue because of the segment's large contribution to total MRR

Next Analysis:

Copare churn across plan tier, company size, customer tenure, and feature adoption within both industries to determine whether churn is concentrated in specific customer profiles rather than the industry as a whole.

Average Customer Lifetime Before Churn

Finding:

Basic: 57 days. Pro: 107 days. Enterprise: 97 days.

Evidence:

Basic: 57 days

Pro: 107 days

Enterprise: 97 days

Difference: Pro stays 50 days longer than Basic

Hypothesis:

Basic customers churn after an average of 57 days, substantially earlier than Pro and Enterprise customers. This may indicate that many Basic customers do not remain engaged long enough to realize ongoing value, although additional onboarding and usage data would be needed to confirm this. The longer lifetime observed in the Pro tier may reflect stronger engagement, different customer profiles, or greater adoption of product features.

Business Impact:

If the shorter lifetime among Basic customers is driven by early disengagement, improving the onboarding experience and helping customers reach value sooner could extend retention and increase customer lifetime value.

Next Analysis:

Compare feature adoption patterns between Basic customers who stay past 90 days versus those who churn by day 57. Identify which features or usage thresholds separate the two groups.

Reactivation Rate

Finding:

17% of churned customers reactivate. 83% never return.

Evidence:

Reactivation rate: 17%

Non-reactivation: 83%

Hypothesis:

Only 17% of churned customers eventually reactivate, suggesting that churn is often permanent rather than temporary. This may indicate that many customers either find suitable alternatives or no longer think sufficient value in returning. However, the reasons for non-reactivation cannot be determined from the current data alone.

Business Impact:

Reactivation as a strategy has a low ceiling if only 17% of targets can convert. Given the relatively low reactivation rate, improving retention among active customers is likely to have a greater long-term revenue impact than relying primarily on win-back efforts.

Next Analysis:

Identify what differentiates the 17% who reactivated from the 83% who didn't. Were they churned due to temporary budget constraints (more likely to return) vs product dissatisfaction (unlikely to return)? This clarifies which segments are worth targeting with win-back..

Section 3 — Cohort Retention

Finding:

Month 1 retention is 100%. Month 3 retention ranges from 96-100%. Month 6 retention ranges from 88-100%. Month 12 retention ranges from 65-100%.

Evidence:

Cohort 2023-01-01: 100% at 1mo → 100% at 3mo → 100% at 6mo → 76% at 12mo

Cohort 2023-02-01: 100% at 1mo → 100% at 3mo → 100% at 6mo → 94% at 12mo

Cohort 2023-03-01: 100% at 1mo → 100% at 3mo → 100% at 6mo → 100% at 12mo

Cohort 2023-05-01: 100% at 1mo → 96% at 3mo → 88% at 6mo → 65% at 12mo

Pattern: Minimal drop-off until month 6, accelerating churn from month 6 to month 12

Hypothesis:

Customers who sign up are surviving their first 3 months intact. Churn accelerates somewhere between month 6 and month 12, suggesting either (a) contracts renewing at 6-12 month marks and customers deciding not to renew, or (b) a different cohort behaviour at the annual renewal cycle.

Business Impact:

The real problem is retention between month 6 and month 12. That is where the business is losing customers.

Next Analysis:

Segment churned accounts by churn date. What percentage of churn happens at the 6-month mark? At the 12-month mark? This will show if the pattern is tied to renewal cycles.

Compare 2023 cohorts to 2024 cohorts. Is the 6-12 month churn pattern consistent or improving over time?

For accounts that churned between month 6-12, pull their churn reason code. Are they price-sensitive (budget)? Product-dissatisfied (features)?

Section 4 — Segmentation

MRR by Segment:

Finding:

Midmarket: ₹78,24,134 (approximately 71% of total). SMB: ₹29,11,732 (approximately 25%). Enterprise: ₹6,02,881 (approximately 5%).

Evidence:

Midmarket: ₹78,24,134

SMB: ₹29,11,732

Enterprise: ₹6,02,881

Hypothesis:

Midmarket contributes the majority of recurring revenue. The relatively low Enterprise MRR appears to be driven primarily by a smaller customer base rather than lower account value, as Enterprise customers generate substantially higher ARPU. This suggests Enterprise revenue may be constrained more by customer volume than pricing.

Business Impact:

Increasing the number of Enterprise customers has the potential to improve recurring revenue more efficiently than growing lower-value segments, assuming acquisition costs remain economically viable. At the same time, the business currently relies heavily on Midmarket revenue, increasing exposure if retention weakens within that segment.

Next Analysis:

Model the revenue impact of acquiring 20 additional Enterprise accounts at current Enterprise ARPU and LTV (maybe A/B testing). Compare to acquisition spend required for equivalent revenue from SMB or Midmarket.

Churn by Segment:

Finding:

Enterprise: 5.71%. SMB: 21.98%. Midmarket: 23.93%.

Evidence:

Enterprise: 5.71%

SMB: 21.98%

Midmarket: 23.93%

Enterprise vs Midmarket gap: 4.2x

Hypothesis:

Enterprise customers are approximately 4x more loyal than Midmarket. Once acquired, Enterprise accounts have lower churn. This suggests Enterprise relationships may be more stable, although the current data cannot determine whether this is driven by switching costs, stronger product fit, longer contracts, or other customer characteristics.

Business Impact:

The combination of low churn, high ARPU, and high LTV makes Enterprise an attractive segment from a retention perspective. Whether the current customer mix reflects a strategic choice or acquisition constraints requires further evaluation.

Next Analysis:

Compare Enterprise customer acquisition cost to SMB/Midmarket CAC. If Enterprise CAC is 2-3x higher, the lower volume may be economically rational. If it's not, the allocation may warrant review.

Satisfaction by Segment

Finding:

SMB: 2.33 / 5. Midmarket: 2.36 / 5. Enterprise: 2.61 / 5.

Evidence:

SMB: 2.33

Midmarket: 2.36

Enterprise: 2.61

All below 3.0 (neutral)

Hypothesis:

Satisfaction scores are consistently low across all customer segments, with no segment reaching a neutral rating of 3 out of 5. Enterprise customers report slightly higher satisfaction than SMB and Midmarket, which is consistent with their lower churn, although the current analysis does not establish a direct relationship between satisfaction and retention.

Business Impact:

Persistently low satisfaction across all segments suggests there may be underlying customer experience issues affecting long-term retention. Improving satisfaction could contribute to better retention, but the relationship should be validated through customer-level analysis.

Next Analysis:

Break down satisfaction by support ticket category. Identify which issue types are driving down satisfaction scores. Prioritize fixing those issues.

Upgrade vs Downgrade by Segment**Finding:**

SMB: 0.23% upgrade, 1.91% downgrade. Midmarket: 0.51% upgrade, 4.63% downgrade. Enterprise: 0.79% upgrade, 7.10% downgrade.

Evidence:

SMB: upgrade/downgrade ratio is 1:8.3

Midmarket: upgrade/downgrade ratio is 1:9.1

Enterprise: upgrade/downgrade ratio is 1:9

All segments: downgrades exceed upgrades by 8-9x

Hypothesis

Customers are more likely to move to a cheaper plan than to upgrade. Across every customer segment, downgrades occur substantially more often than upgrades. This pattern may reflect pricing sensitivity, changing customer needs, lower product usage, or perceived differences in plan value. Enterprise downgrades deserve particular attention because each downgraded account represents a relatively large revenue impact.

Business Impact

Frequent downgrades may serve as an early indicator of future revenue risk. Given Midmarket's large contribution to total MRR, even modest improvements in downgrade rates could have a meaningful impact on recurring revenue.

Next Analysis

Track what percentage of downgraded accounts churn within 90 days. If the correlation is strong (e.g., >70% of downgrades lead to churn), downgrade events should automatically trigger CS outreach as an early warning system.

Net Revenue Retention by Plan Tier**Finding:**

Enterprise is the only plan tier with Net Revenue Retention above 100% (105.24%).

Interpretation:

Enterprise expansion revenue more than offsets revenue lost from churn and downgrades, indicating existing Enterprise customers continue to generate additional recurring revenue over time. Basic and Pro remain around break-even, suggesting growth depends more heavily on acquiring new customers.

Business Impact:

Improving Enterprise acquisition and retention could strengthen recurring revenue growth because the segment expands even without relying solely on new customer acquisition.

Next Analysis:

Break down Enterprise expansion by customer size and industry to identify which accounts contribute most to revenue growth.

Supporting Findings by Plan Tier:

Plan Tier	Expansion Rate	Downgrade Rate	Net Revenue Retention	Revenue at Risk	Expansion MRR
Basic	8.74%	3.97%	98.20%	₹27K	₹482K
Pro	14.60%	5.92%	99.94%	₹114K	₹432K
Enterprise	12.21%	4.21%	105.24%	₹318K	₹349K

- ❖ Pro has the highest expansion rate but also the highest downgrade rate, resulting in NRR remaining close to 100%.
- ❖ Basic generates the largest Expansion MRR despite having the lowest expansion rate, likely reflecting its larger customer base.
- ❖ Enterprise has the highest revenue at risk, meaning a relatively small number of customers represent a significant share of potential revenue loss.

Enterprise Concentration by Industry:**Finding:**

EdTech: 32 Enterprise accounts. Fintech: 14. HealthTech: 9. DevTools: 8. Cybersecurity: 7.

Evidence:

EdTech: 32 Enterprise accounts

Fintech: 14 Enterprise accounts

HealthTech: 9

DevTools: 8

Cybersecurity: 7

Hypothesis:

EdTech has the highest number of Enterprise customers, while FinTech contributes a larger share of recurring revenue overall despite having fewer Enterprise accounts. This pattern suggests that customer value may differ across industries, although additional revenue metrics are required to determine whether FinTech Enterprise accounts generate higher contract values.

Business Impact:

If Enterprise acquisition costs and conversion rates are favourable, increasing the share of Enterprise customers could improve long-term revenue efficiency.

Next Analysis:

Calculate average lifetime value by industry × segment, then compare these against acquisition cost where available to identify the highest-value growth opportunities.

Section 5 — Customer Health**Feature Usage: Churned vs Retained**

Finding:

No single feature clearly separates churned from retained accounts. Feature 6 has the highest total users (655) and also high churn (69). Feature 7 has the highest never-churned count (571 out of 619 total users, or 92% retention).

Evidence:

Feature 6: 655 total, 69 churned

Feature 7: 619 total, 571 never-churned (92%)

(Other features show similar mixed patterns)

Hypothesis:

No individual feature shows a strong association with retention based on the current analysis. This suggests that overall product engagement, measured by the breadth of feature adoption, may be a stronger indicator of retention than usage of any single feature. Feature 7 demonstrates slightly higher retention than other features, but the difference is not large enough to make it as a primary retention driver.

Business Impact:

If broader product adoption is associated with better retention, onboarding should focus on helping customers discover multiple product capabilities rather than encouraging use of a single flagship feature. This approach should be validated through customer-level adoption analysis.

Next Analysis:

Compare total feature count (number of distinct features used per account) between month 1 churners and month 1 survivors. Identify the minimum feature count threshold associated with 6-month retention. Design onboarding to hit that threshold by day 30.

Early Churn Error Analysis:**Finding:**

Accounts that churned within 3 months had an average churn date of day 40 with an average error count of 0.57 per session.

Evidence:

Average churn day: 40

Average error count: 0.57 per session

Hypothesis:

Customers who churn within the first three months leave after an average of 40 days while experiencing an average of 0.57 errors per session. The timing suggests that product errors may be affecting customers during the early evaluation period, although additional analysis is required to determine whether error frequency is associated with a higher likelihood of churn.

Business Impact:

If product errors contribute to early customer attrition, reducing errors during the first 45–60 days could improve retention while also enhancing the onboarding experience. Confirming this relationship should be a priority before investing in targeted engineering work.

Next Analysis:

Compare average error rates for retained customers over the same period to determine whether early churners experience meaningfully higher error frequency.

High-Risk Account Scoring:**Finding:**

T9 active (non-churned) accounts were identified as simultaneously low-usage, high-error, and low-satisfaction. These span all three plan tiers: Enterprise (2 accounts), Pro (3 accounts), Basic (4 accounts)

Evidence:

Query output shows average usage between 8.97–9.65, average error counts between 0.71–0.87, and average satisfaction scores between 3.0–3.5 for all 9 flagged accounts consistent with the intended "at-risk" profile of low engagement, elevated errors, and below-average satisfaction.

Hypothesis:

The Two of the nine flagged accounts are Enterprise plan tier (A-ced9aa, A-956988), this segment shown in this analysis to carry the highest ARPU and the best retention profile. Losing either of these accounts would have an outsized revenue impact relative to losing a Basic or Pro account, making them the highest-priority accounts for proactive outreach from this list. The presence of Basic and Pro accounts on the list (6 of 9) also confirms this risk pattern isn't confined to one segment.

Business Impact:

If this scoring model is used operationally, customer success resources could be directed toward healthy accounts while genuinely at-risk customers receive little or no intervention. This reduces the effectiveness of the health scoring model and weakens confidence in downstream analyses.

Next Analysis:

Cross-reference these 9 account IDs against churn_events for any of their prior subscriptions to see if this same low-usage/high-error/low-CSAT profile preceded past churn elsewhere in the dataset, this may validate whether the model's flagged accounts are genuinely predictive rather than coincidental

Section 6 — Unit Economics**Customer Lifetime by Referral Source****Finding:**

Organic: 54 days. Event: 571 days. Other: 576 days. Ads: 585 days. Partner: 591 days.

Evidence:

Organic: 54 days

Event/Other/Ads/Partner: 571-591 days (approximately 19 months)

Gap: organic is 10x shorter

Hypothesis:

Organic customers have a substantially shorter average lifetime than customers acquired through every other referral source. This suggests the Organic channel attracts a different customer profile or usage pattern than other acquisition channels. The current analysis does not determine whether this difference is driven by customer intent, acquisition quality, onboarding, or another factor.

Business Impact:

If the shorter customer lifetime observed in the Organic channel translates into lower lifetime value, acquisition performance based solely on signup volume may overstate the long-term contribution of Organic customers. Evaluating acquisition channels using retained revenue rather than customer count may provide a more accurate view of channel performance.

Next Analysis:

Segment organic traffic into sub-sources: direct, search, referral. Identify which organic source is driving the 54-day average. One source may have much higher value than others.

LTV:CAC by Referral Source**Finding:**

Using assumed CAC values:

Other: ₹8,300 CAC, ₹4,21,422 LTV -> 42x ratio

Partner: ₹16,600 CAC, ₹4,48,890 LTV -> 31x ratio

Event: ₹24,900 CAC, ₹3,63,477 LTV -> 16x ratio

Ads: ₹41,500 CAC, ₹4,31,138 LTV -> 11x ratio

Evidence:

All channels exceed 3:1 LTV:CAC threshold
Partner yields higher LTV at 40% of Ads CAC
CAC values are assumed, not actual spend data

Hypothesis:

Based on the assumed CAC values, all acquisition channels exceed the commonly used 3:1 LTV:CAC benchmark. Partner appears to deliver the strongest capital efficiency by combining relatively high lifetime value with lower assumed acquisition cost. However, these conclusions depend entirely on the accuracy of the CAC assumptions.

Business Impact:

If the assumed acquisition costs are representative of actual spending, increasing investment in Partner acquisition could improve overall marketing efficiency. This recommendation should be validated using actual channel spend and capacity constraints before informing budget decisions.

Next Analysis:

Perform a sensitivity analysis by varying CAC assumptions ($\pm 20\text{--}30\%$) to evaluate whether the channel ranking remains consistent under different acquisition cost scenarios.

LTV by Plan Tier**Finding:**

Basic: ₹30,282 avg LTV. Pro: ₹84,930 avg LTV. Enterprise: ₹3,29,990 avg LTV.

Evidence:

Basic: ₹30,282
Pro: ₹84,930 (2.8x higher than Basic)
Enterprise: ₹3,29,990 (11x higher than Basic, 3.9x higher than Pro)

Hypothesis:

Enterprise LTV is 11x higher than Basic, which aligns with the 11x ARPU gap. The gap reflects both higher monthly revenue and longer customer lifetime. Each Enterprise customer is economically equivalent to roughly 11 Basic customers in lifetime value.

Business Impact:

Given the substantial difference in lifetime value across plan tiers, understanding whether acquisition investment reflects these economics is important. If Enterprise customers can be acquired at a cost that is not proportionally higher than their lifetime value, expanding this segment could improve long-term revenue efficiency.

Next Analysis:

Calculate actual Customer Acquisition Cost by plan tier (actual spend $\div$ customers acquired). Compare to LTV gap to determine whether the current plan tier acquisition mix is economically rational.

Executive Summary

Biggest Opportunities:

Enterprise customers generate 11× higher LTV than Basic.

Partner acquisition appears more capital efficient than Ads (subject to CAC validation).

Midmarket contributes 71% of revenue, making it the primary revenue growth lever.

Biggest Risks:

Overall annual churn is 9.72%.

Healthcare and FinTech generate the largest net revenue loss.

Highest Priority Analyses:

Monthly MRR Bridge

Feature Adoption vs Churn

Downgrade -> Churn correlation

RECOMMENDATIONS & NEXT STEPS:

1. Improve early customer onboarding

Basic customers have the shortest average lifetime, and customers who churn within the first three months leave after around 40 days on average. This suggests the first one to two months are important for customer retention. Review the onboarding flow, activation emails, and product guidance during this period to help new customers reach value sooner. After making changes, compare retention before and after onboarding improvements.

2. Investigate the Enterprise growth opportunity

Enterprise customers show the highest ARPU, highest lifetime value, and Net Revenue Retention above 100%, but they make up only a small share of total customers. Before increasing acquisition efforts, compare Enterprise customer acquisition cost with other plan tiers to confirm whether expanding this segment would improve long-term revenue growth.

3. Reduce revenue at risk from existing customers

Revenue at risk is highest in the Enterprise plan, while Midmarket contributes the largest share of recurring revenue. Monitoring customers with declining usage, lower satisfaction, or recent downgrades may help identify accounts that need attention before they churn. A simple health monitoring process could help Customer Success teams prioritize these accounts.

4. Review acquisition channel performance using actual marketing spend

The current LTV:CAC analysis is based on assumed acquisition costs. Before making budget decisions, validate these assumptions using actual marketing spend by referral source. This will provide a more accurate comparison of acquisition efficiency across Organic, Partner, Ads, and Event channels.

5. Improve visibility into churn drivers

A significant number of churned customers are categorized under the "Unknown" reason code, making it difficult to understand why customers leave. Introducing a short exit survey with predefined cancellation reasons can improve future churn analysis and help prioritize product or customer experience improvements.

6. Validate leading indicators of churn

Several analyses suggest that lower product engagement, customer satisfaction, and downgrade events may be associated with customer churn, but these relationships have not yet been confirmed. Customer-level analysis should be performed to identify which behaviors are most strongly linked to churn so they can be used as early warning indicators

Future Work:

This analysis identifies several patterns that may influence customer retention and revenue growth. However, some findings require additional validation using customer-level behavioral data, acquisition cost data, and product usage history. Future analyses should focus on confirming these relationships before they are used to support operational or strategic decisions.

ASSUMPTIONS & LIMITATIONS

Some analyses use simulated SaaS data.

CAC values for referral channels are assumed for scenario modelling and should not be interpreted as actual marketing spend.

Business recommendations requiring CAC or sales capacity should be validated using operational data.

Interpretations are based only on available metrics and do not imply causation.